

## Chapter 1

# Bitcoin and the Financial Crisis of 2008

**I**n 2008, Bitcoin rose like a phoenix from the ashes of near Wall Street collapse. In the four months of August to October 2008, an unprecedented series of changes occurred: Bitcoin.org was registered, Lehman Brothers filed for the largest bankruptcy in American history, Bank of America bought Merrill Lynch for \$50 billion, the U.S. government established the \$700 billion Troubled Asset Relief Program (TARP), and Satoshi Nakamoto published a paper that founded Bitcoin and the basis of blockchain technology.<sup>1</sup>

The entwinement of the financial collapse on the one hand and the rise of Bitcoin on the other is hard to ignore. The financial crisis cost the global economy trillions of dollars and burned bridges of trust between financial titans and the public.<sup>2</sup> Meanwhile, Bitcoin provided a system of decentralized trust for value transfer, relying not on the ethics of humankind but on the cold calculation of computers and